

Appendix B

MBFC + SH Organizational Audit

Purpose

The MBFC + SH Organizational Audit is a diagnostic tool used to identify sources of Waste, Defects, Delays, Cost, Risk, and Frustration within an organization.

It is not a strategic planning exercise. It is a field-level assessment designed to reveal where friction exists between how work is intended to function and how it actually functions.

The goal is simple: make the invisible visible.

Audit Principle

Observe what people actually do, not what procedures say they do.

Differences between documented processes and actual practice often reveal the most significant sources of friction.

Step 1: Observe the System as It Actually Operates

Begin by walking the process, not the policy.

Do not start with reports, presentations, or summaries. Start with actual work in motion.

Ask:

- Where does work stop moving?
- Where do people wait for decisions, approvals, or information?
- Where does rework occur?
- Where do handoffs break down?

Focus on observation before interpretation.

Step 2: Identify Friction Sources

Every organization contains friction. The objective is not to eliminate it entirely, but to understand where it concentrates.

Friction Category	Examples
Waste	Activities that consume effort without creating value
Defects	Errors, rework, or inconsistent outputs
Delays	Waiting time between steps or decisions
Cost	Unnecessary spending or duplicated effort
Risk	Safety, financial, operational, or compliance exposure
Frustration	Confusion, resistance, or disengagement

Each observation should be tied to a specific location in the process, not a general opinion.

Step 3: Link Friction to MBFC Impact

For each friction point identified, determine what MBFC dimension is being affected.

MBFC Dimension	Evaluation Question	Impacted?
More	Does this reduce output, capacity, or throughput?	☐
Better	Does this reduce quality, consistency, or reliability?	☐
Faster	Does this slow flow, speed, or responsiveness?	☐
Cheaper	Does this increase cost without proportional benefit?	☐
Safer	Does this increase exposure to harm or uncertainty?	☐
Happier	Does this negatively affect employee, customer, or stakeholder experience?	☐

Most friction affects multiple dimensions. The objective is to understand system-wide impact, not isolated issues.

Step 4: Identify the Root Cause of the Friction

For each major friction point, ask:

- Why does this step exist?
- What problem was it originally intended to solve?
- Does that problem still exist today?
- What would happen if this step were simplified or removed?
- Has the system changed faster than the process?

Many sources of friction persist not because they are necessary, but because they were never re-evaluated after the conditions changed.

Step 5: Distinguish Necessary vs. Accumulated Friction

Not all friction is avoidable. Some friction is intentional and valuable (e.g., safety checks, compliance steps, quality assurance). The key distinction is:

Necessary Friction	Accumulated Friction
Protects the system or improves outcomes	Exists because it was never removed
Supports safety, quality, or compliance	Adds effort without proportional value
Should be maintained or improved	Should be challenged or eliminated

The audit should separate these two categories clearly.

Step 6: Prioritize Opportunities

Not all issues should be addressed immediately. Prioritize based on:

Priority Factor	Question
Frequency	How often does the issue occur?
Severity	How significant is the impact?
MBFC Impact	How many dimensions are affected?
Ease of Correction	How difficult is the fix?
System Leverage	How broadly will improvement affect the system?

Focus first on changes that reduce multiple forms of friction simultaneously.

Final Output of the Audit

At the end of the audit, the organization should be able to clearly articulate:

Audit Output	Notes
Where friction exists	
Why it exists	
Whether it is still necessary	
What MBFC dimensions are affected	
Which changes would produce the greatest net improvement	

Final Principle

Most organizational friction is not created by poor decisions made today.

It is created by decisions that were never revisited after the conditions changed.

The purpose of the MBFC + SH Audit is to identify those decisions and challenge them.